microfinance institutions network

annual report

2012-13

Contents

Abbreviations

AKMI	Association of Karnataka Microfinance Institutions
AP	Andhra Pradesh
BC	Business Correspondent
CAB	College of Agricultural Banking
CB	Credit Bureau
CDR	Corporate Debt Restructuring
CEO	Chief Executive Officer
CESS	Centre for Economic and Social Studies
CFO	Chief Financial Officer
CGAP	Consultative Group to Assist the Poor
CGM	Chief General Manager
CII	Confederation of Indian Industry
CMD	Chairman Managing Director
CoC	Code of Conduct
COO	Chief Operating Officer
Cr	Crore
DFS	Department of Financial Services
EC	Enforcement Committee
ED	Executive Director
EVP	Executive Vice President
FFSL	Future Financial Services Ltd
FY	Financial Year
GFSPL	Grameen Financial Services Pvt Ltd
GLP	Gross Loan Portfolio
IBA	Indian Banks' Association
IFC	International Finance Corporation
IIM	Indian Institute of Management
IRDA	Insurance Regulatory Development Authority
ISB	Indian School of Business
IT	Income Tax
KAMFI	Kerala Association of Microfinance Institutions
LDM	Lead District Manager
M-CRIL	Micro Credit Ratings International Limited
MD	Managing Director
MEDC	Maharashtra Economic Development Council
MFI	Microfinance Institutions
MFIN	Microfinance Institutions Network
MFO	Microfinance Opportunities
NABARD	National Bank for Agriculture and Rural Development
NBFC	Non Bank Finance Company
NGO	Non Governmental Organization
NPA	Non Performing Assets
OECD	Organisation for Economic Cooperation and Development
PAR	Portfolio at Risk
PFRDA	Pension Fund Regulatory & Development Authority
RBI	Reserve Bank of India
SERP	Society for Elimination of Rural Poverty
SEWA	Self Employed Women's Association
SHG	Self Help Group
SIDBI	Small Industries Development Bank of India
SLBC	State Level Bankers' Committee
SPM	Social Performance Management
SRO	Self-Regulatory Organization
VP	Vice President

MFIN is amongst India's leading industry associations, speaking for the RBI regulated microfinance focused NBFCs.

MFIN aims to be an engine of inclusive growth for the vast un-served segments of the population, by facilitating access to inclusive financial services in a responsible and transparent manner.

CEO's Message

More than ever before, the core strength and resilience of the microfinance business model got demonstrated this year. Overall, with a GLP growth of 23% the industry clearly showed that it is coming out of the shadow of the AP crisis. It also showed that the 'new normal' created by the framework of regulations put in place by the RBI is good, forward looking and working well for all stakeholders.

At a strategic level, the industry has been moving towards an identity which is that of a mainstream player working alongside commercial banks to promote the financial inclusion agenda. Given regulatory limitations, microcredit has been the primary product offering. In the backdrop of the losses caused to low income savers on account of various so-called "savings schemes" in the eastern region, there is now a strong case for the RBI to consider allowing regulated NBFC MFIs to widen the scope of their activities and offer saving products, directly or as BCs of Banks.

The winds of change have slowly begun to blow in favour of the sector. But this has come at a huge cost after the crisis triggered by the AP Ordinance of Oct, 2010. MFIN and its members have taken large strides in building an effective system of processes that protect the ultimate borrower and also help the MFIs manage their risks. MFIN has been the frontrunner in developing credit bureau system for the microfinance industry. I am glad to share that MFIN members are now using Credit Bureau reports for all their lending decisions.

It is encouraging to note that the Governor, Reserve Bank of India (RBI) in his monetary policy statement of 3rd May 2013 mentioned that a discussion paper is being prepared on the banking structure for India which will consider the desirability and practicality of having small, localised banks as preferred vehicles for financial inclusion.

This is a pointer to the fact that the national financial architecture needs the presence of a wide variety of institutional forms which can serve the bottom of the pyramid segments.

Moving forward, as an industry we see a horizon full of opportunities. And, we will continue to re-define ourselves in how we help the clients at the bottom of the pyramid.

I look forward to working with a wide range of stakeholders in the microfinance industry by listening to the challenges, understanding the needs and opportunities and responding with the collective power of our member MFIs.

Alok Prasad	Gurgaon
Chief Executive Officer	June 29, 2013

President’s Message

The industry has survived the tsunami caused by the Andhra Pradesh (AP) government's action against Microfinance Institutions (MFIs) in October 2010 and is on the upswing this year. Rebuilding trust in our industry has remained our priority. Looking at the telecom, pharmaceuticals, real estate and mining industries, for example, we realize that regulatory actions can cause huge swings in the business environment. But if we look deeper down, it is always because in the first place, some of the players in each industry did not keep the consumers' or the wider community's interests in mind and acted in a questionable manner, triggering media criticism. This then leads to a political reaction and regulatory tightening up.

The lesson to learn is that self-regulation should be so strong that various stakeholders would find no cause to complain against the microfinance industry. The financial services industry in India has seen many events during the past year- from "chit fund' savings schemes going belly-up to new banking license policy attracting many new aspirants. The Government of India and the Reserve Bank of India (RBI) have been tightening up the legal and regulatory frameworks. After the AP crisis, banks have become cautious in lending more to MFIs. The good news, however, is that the credit flow from banks to MFIs has certainly been higher than in 2011-12 and as a number of more confidence-building steps are taken, this will increase further. The days of 100% per annum growth are over, and perhaps rightly so. The slower growth period is a good time to gear up for the long journey ahead. One good that has come out of the AP crisis is that the focus of the industry has now shifted to the Eastern, Northeastern, Central and Northern India regions (as designated by the RBI). This bodes well for enhancing access to credit in these states with a much higher than average poverty percentage. Considering the national objective of inclusive growth, this is welcome.

On the regulatory front, MFIN's advocacy efforts contributed significantly to the moderated implementation of the recommendations of the Malegam Committee, including the interest rate and margin cap issue, as also special consideration for provisioning of bad debts in Andhra Pradesh. MFIN also sought and obtained clarifications of the detailed regulations for registration of NBFC-MFIs. We were also in dialogue with the RBI over the creation of a self-regulatory organisation (SRO) for our industry. In preparation for becoming an SRO, MFIN adopted a Code of Conduct and established an Enforcement Committee, which has three independent members – one each with a background in banking regulation, banking operations and academic analysis of microfinance. The steps taken by the Code of Conduct Enforcement Committee have helped in enforcing the RBI regulations and influencing members to comply with measures beyond those.

Ensuring 100% adoption of the use of Credit Bureau checks before an MFI makes a lending decision, has been one of the most significant achievements of MFIN. An industry which did not have any Credit Bureau till 2009, has today contributed over 70 million loan records to the Credit Bureaus and every month, makes about 1.5 million credit queries. This has started showing results in terms of borrower and field staff discipline, and in reducing delinquency rate. MFIN has worked with the Department of Financial Services (DFS), Ministry of Finance, Government of India, and with various State Governments to ensure that policy makers have a good understanding of our industry. We also met with a number of Members of Parliament across Parties and the Chairman of the Parliamentary Standing Committee on Finance, to impress upon them the need to enact the Microfinance Development and Regulation Bill 2012, expeditiously.

We also met with the Insurance Regulatory and Development Authority (IRDA) to work on the new micro-insurance guidelines, as well with the Pension Funds Regulatory and Development Authority (PFRDA) for encouraging promotion of micro-pension payments through MFIs. We have urged the RBI to permit all MFIs (not just NGOs) to become Business Correspondents of banks so that they could play a greater role in financial inclusion. MFIN has initiated steps for a dialogue on taxation, as the present regime does not allow expensing off of provisioning on bad debts, which is highly discriminatory against MFIs.

MFIN has worked with the media and academia for keeping the general public, opinion leaders, policy makers and the political leaders well-informed about the work being done by MFIs in providing much needed access to credit and other financial services to the poor. In addition, special events have been held with prestigious newspapers/channels such as the Mint and CNBC TV 18, to have deeper discussions and dispel some of the negative images that have been imposed on the good work done by the industry. Major research/academic institutions including the Centre for Economic and Social Studies, Hyderabad and the Indian Institute of Management, Ahmedabad, were involved in organising seminars or carrying out studies on microfinance.

As MFIN enters its fourth year, it is becoming an effective industry association, which not only represents the interests of its members to various stakeholders, but also educates its own members about the need to ensure that the other stakeholders' interests, particularly those of the clients, are adequately addressed. We have already set a tradition where the Board members, elected annually by secret ballot, are deeply involved with various activities of MFIN through a number of Task Forces and Standing Committees.

I want to thank my fellow Board members for contributing to the common task of building up the industry association. Of course, solidly behind the Board are our members who have served MFIN in various ways and more importantly, participated in its governance through e-groups, conference calls and physical meetings. The leadership provided by the MFIN CEO and the dedication of the staff were key elements, without which the association could not have achieved much. I want to acknowledge their contribution with deep appreciation.

Despite baptism by fire, we have laid the foundations for addressing our vision – making microfinance the engine for inclusive growth of India. Think about it, there are few other choices the nation has.

Vijay Mahajan — Hyderabad

President, MFIN — June 29, 2013

Introduction

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About MFIN

Micro Finance Institutions Network (MFIN) is the association of Non-Bank Finance Company Micro Finance Institutions (NBFC-MFIs). It was established in October 2009 as the primary representative body of the NBFCs engaged in the business of microfinance. Since its establishment, MFIN has been working for the promotion of microfinance in India and as the Self-Regulatory Organization (SRO) for the industry; it has supported the establishment of an effective framework guidelines for responsible lending and client protection.

Vision

To be an engine of inclusive growth for India and help provide financial services to 100 mn low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.

Objectives

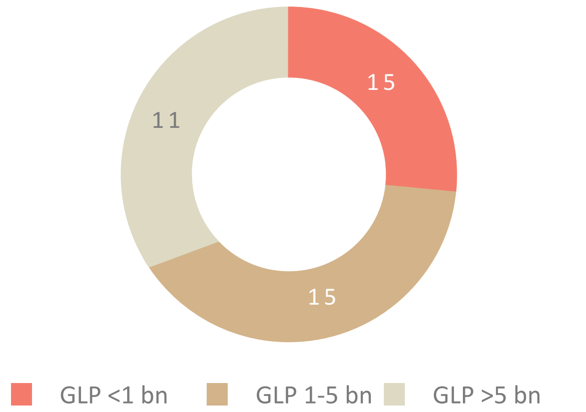
MFIN's primary objective is to work towards the robust development of the microfinance sector, by promoting:

- Responsible lending,
- Client protection,
- Good Governance, and
- A supportive regulatory environment

Membership

MFIN's membership comprises of RBI regulated NBFC-MFIs only and currently the association has 41 members, diverse in size and geographic spread. Three new MFIs, namely Adhikar, Belstar and M-Power joined as new members of MFIN during the year 2012-13.

Distribution of members by GLP
(31st March 2013)



Member MFIs operate in over 470 districts across 27 states, primarily in rural areas, including remote geographies. As of 31st March 2013, the combined client base of member MFIs is over 24.4 mn (2.44 Cr) and a portfolio outstanding of Rs 212.45 bn (Rs 21,244.9 cr).

The list of MFIN members is given in Annex 1.

Members' Portfolio (as of 31st March 2013)

41 Members (NBFC-MFIs)

9,085 Branches

60,754 Employees

2,44,38,087 Clients

Rs 21,244.9 Cr Gross Loan Portfolio (GLP)

Rs 23,364.41 Cr Loan Disbursements

[1]Five MFIs had to discontinue MFIN membership due to financial stresses / operational issues.

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Governance

Board of Directors

Micro Finance Institutions Network (MFIN) has a nine member board with broad representation across MFI sizes, regions.

Vijay Mahajan Chairman, BSFL

Vijay Mahajan is the President of MFIN. Mr. Mahajan founded BASIX in 1996, a new generation financial institution that supports rural livelihoods in India. Mr. Mahajan is currently also the Principal Advisor on Livelihoods to the Government of Rajasthan and serves on the Board of the Insurance Regulatory and Development Authority (IRDA) as well as on the Boards of ASSEFA, Gram Vikas, and ARAVALI. He is also the Chairman of Consultative Group to Assist the Poor (CGAP).

Samit Ghosh CEO & MD, Ujjivan Financial Services Pvt Ltd

Samit Ghosh is the CEO and Managing Director of Ujjivan Financial Services. Mr. Ghosh has been a member of the international banking community for over thirty years. He led the launch of retail banking for Standard Chartered in the Middle East and South Asia, and for HDFC Bank in India. His last commercial assignment was Chief Executive (India) of Bank Muscat. He is an alumnus of Jadavpur University and the Wharton School of the University of Pennsylvania.

Chandra Shekhar Ghosh Chairman & MD, Bandhan Financial Services Pvt Ltd

Chandra Shekhar Ghosh is the Chairman and Managing Director of Bandhan Financial Services Pvt. Ltd. Mr. Ghosh is also on the Governing Board of Sa-Dhan and READ India and has served on the National Bank of Agricultural and Rural Development (NABARD) committee for State Level Review and Coordination of Credit Delivery Innovations. Mr. Ghosh has also been instrumental in defining policy for MFIs in his role as an advisor to Small Industries Development Bank of India (SIDBI).

G. Dasaratha Reddy MD, Future Financial Services Ltd

G. Dasaratha Reddy is the promoter and Managing Director of FFSL. He is also the founder of ACTS, established in 1985, for social welfare and developmental (non microfinance) activities for weaker sections in VKota (a small town in Chittoor district of Andhra Pradesh) and its surrounding areas. Mr. Reddy formed AMMACTS in 1998 under Mutually Aided Co-operative Societies Act. It collects savings from the members and extends loans to them in and around Kota.

Govind Singh **CEO & MD, Utkarsh Micro Finance Pvt Ltd**

Govind Singh is the Promoter and Managing Director and the Chief Executive Officer of Utkarsh Micro Finance Pvt. Ltd. He has over two decades of banking experience with State Bank of Patiala, Surya Roshni group (Financial services), Bank International Indonesia, ICICI Bank, and Axis Bank. Prior to founding Utkarsh, Mr. Singh was the Business Head for Micro banking at ICICI Bank.

Kishore Kumar Puli **CEO, Trident Microfinance Pvt Ltd**

Puli Kishore Kumar is the promoter and CEO of Trident. He has a unique combination of extensive operational and funding experience coupled with excellent knowledge of the local microfinance market gained though his association with BASIX from 1999 to 2005 and with ICICI Bank thereafter. Kishore was the first operations manager at Krishna Bheema Samruddhi Local Area Bank, a BASIX subsidiary, and also led livelihood promotion initiatives. Upon leaving BASIX, Kishore managed ICICI Bank's microfinance business in Karnataka and went on to become Chief Manager for Karnataka state operations before moving on to launch Trident.

Manoj Kumar Nambiar **MD, Arohan Financial Services Ltd**

Manoj Kumar Nambiar is the Managing Director of Arohan Financial Services. Manoj has over 23 years of progressive consumer finance/retail banking experience starting with Modi Xerox, GE Countrywide, ANZ Grindlays Bank and ABN Amro Bank in India and then across Oman, UAE, Egypt & Saudi Arabia as Head of Retail Banking with National Bank of Oman, COO of the Nissan (Alhamrani) finance company in the KSA and most recently as Dy CEO of Ahli Bank in Oman. Manoj is a mechanical engineer from VJTI, Mumbai and a management post graduate from JBIMS, Mumbai. He also has tertiary qualifications in insurance.

Padmaja Gangi Reddy **MD, Spandana Sphoorty Financial Ltd**

Padmaja Gangi Reddy is the Managing Director of Spandana Sphoorthy Financial Ltd. Ms. Reddy has over twenty years of experience in Social Development, Microfinance, and Entrepreneurship. She worked in an NGO before founding Spandana in 1998.

Suresh K Krishna **MD, Grameen Financial Services Pvt Ltd**

Suresh K Krishna is the Managing Director of Grameen Financial Services Pvt Ltd. He has been a development professional since 1997. He is the Secretary of the Association of Karnataka Microfinance Institutions (AKMI). Mr. Krishna is also the Chairman of Microfinance Focus and the Promoter and Director of EKAYANA Media Services Pvt Ltd.

Chief Executive Officer

Alok Prasad

Along with the Board of Directors, MFIN is led by Mr. Alok Prasad as its professional CEO. Mr. Prasad is a veteran banker with over thirty years of both public and private sector banking and financial services experience. He was formerly the Head, Strategy & Business Development, of Citi Consumer Group, and Country Director of Citi Microfinance Group (India). He also served on the Boards of Citi Financial Ltd and Citicorp Maruti Finance Ltd. Prior to joining Citi, Mr. Prasad had a long stint with the RBI, across various departments, in both Central and Regional Offices. He was also a member of the start-up team of the National Housing Bank, a statutory body wholly owned by RBI, where he played a pivotal role in the formulation of policies for the development of the housing finance sector in India.

Task Forces

MFIN has established a number of Task Forces for focused action on specific areas of activity that, from an overall industry standpoint, are deemed critical. The Task Forces comprise of representatives of member institutions who help drive specific initiatives with the support of the MFIN Secretariat.

Task Force on Credit Bureau

The Credit Bureau Task Force is responsible for engaging with Credit Bureaus in India to facilitate the development and implementation of dedicated credit bureau services for microfinance clients in India. This Task Force is headed by Mr Govind Singh of Utkarsh.

The members of the Task Force are as under:

Credit Bureau Task Force Members	
Name	**Representative Organization**
Govind Singh	CEO & MD Utkarsh Microfinance Pvt &Ltd
HKN Raghavan	Business Head, Equitas Micro Finance India Pvt Ltd
Padmaja Reddy	MD, Spandana Sphoorty Financial Ltd
Shubhankar Sengupta	CEO, Arohan Financial Services Pvt Ltd
Suresh Krishna	MD, Grameen Financial Services Pvt Ltd

Task Force on Policy Advocacy

The Policy Advocacy Task Force is responsible for engaging with the Reserve Bank of India, Central Government, State Governments, and other key stakeholders and decision makers. The Task Force holds regular dialogues with key policy makers to create a favorable operating environment for the Microfinance Industry. This Task Force is headed by MFIN President Vijay Mahajan. The members of the Task Force are as under:

Policy Advocacy Task Force Members	
Name	**Representative Organization**
Vijay Mahajan	Chairman, BSFL
Chandra Shekhar Ghosh	Chairman & MD, Bandhan Financial Services Ltd
Dilli Raj	CFO, SKS Microfinance Ltd
K Paul Thomas	MD, ESAF Microfinance and Investments Pvt Ltd
Samit Ghosh	CEO & MD, Ujjivan Financial Services Ltd

Task Force on Media Relations and Communications

The Task Force on Media relations/Communications is responsible for managing the Communications strategy of MFIN. The members of the Task Force are as under:

Media Relations and Communication Task Force Members	
Name	**Representative Organization**
Ankur Ganguly	Ujjivan Financial Services Ltd
Chandra Shekhar Ghosh	CMD, Bandhan Financial Services Pvt Ltd
George Thomas	Director (Operations), ESAF Microfinance & Investments Pvt Ltd
Kishore Kumar Pulli	MD, Trident Microfin Pvt Ltd
Nitin Agarwal	VP – Strategy, Spandana Sphoorty Financial Ltd

Enforcement Committee

As the industry 'Self Regulatory Organization' (SRO), MFIN has constituted an Enforcement Committee (EC) for ensuring effective implementation of the MFIN Code of Conduct (CoC) and adherence to regulatory norms. The EC has been instrumental in the preparation of formal processes for the reporting and inquiry of CoC and regulatory violations.

The EC is chaired by Mr Vinay Baijal, former CGM, RBI. R Baskar Babu from Suryodaya is the Vice Chairman. The members of the Enforcement Committee are as under:

Enforcement Committee Members	
Name	**Representative Organisation**
Internal Members	
A V Sateesh Kumar	EVP, SKS Microfinance Ltd
Prakash Sundaram	Advisor, Future Financial Services Ltd
R Baskar Babu	CEO, Suryodaya Micro Finance Pvt Ltd
Suresh Krishna	MD, Grameen Financial Services Pvt Ltd
External Members	
Anil Girotra	Former ED, Andhra Bank
Shamika Ravi	Assistant Professor, ISB Hyderabad
Vinay Baijal	Former CGM, RBI

Industry Overview

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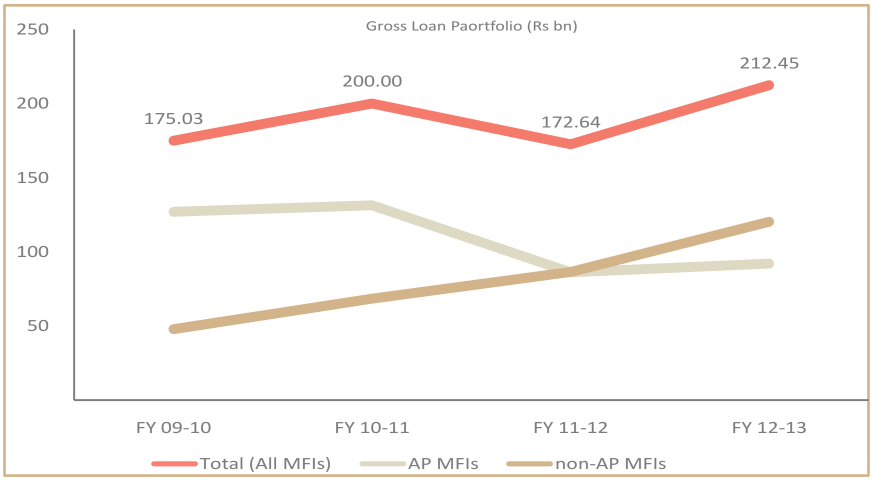
Microfinance

During FY 12-13, the industry witnessed significant growth in all regions excluding Andhra Pradesh (AP). States such as West Bengal, Tamil Nadu, Kerala, Bihar, Assam and Uttar Pradesh, showed notable increase in microfinance penetration levels. There was also a return of funder confidence with total debt funding to MFIs rising by 79%.

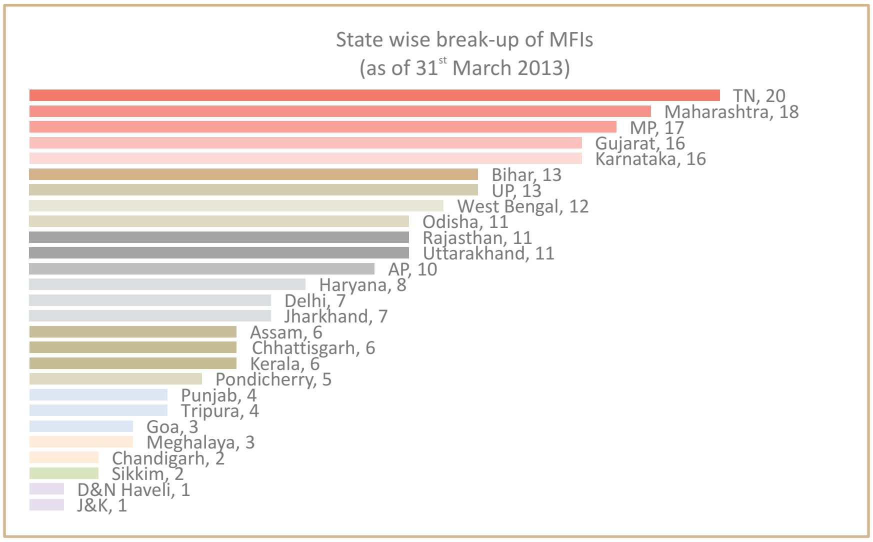
GLP

Compared to FY 11-12, the Gross Loan Portfolio (GLP) of members witnessed a rise of 23% on a pan India basis with non-AP MFIs witnessing a growth of 39%. Even AP based MFIs came out of the red zone and on an aggregate basis, showed 7% growth. Overall, 82% of MFIN members were able to grow their portfolio the year.



Geographic Spread

Post, the AP crisis, the industry has seen wide spread diversification across geographies. MFIs now have presence in 27 states and Union Territories. Tamil Nadu has the presence of largest number of MFIs.

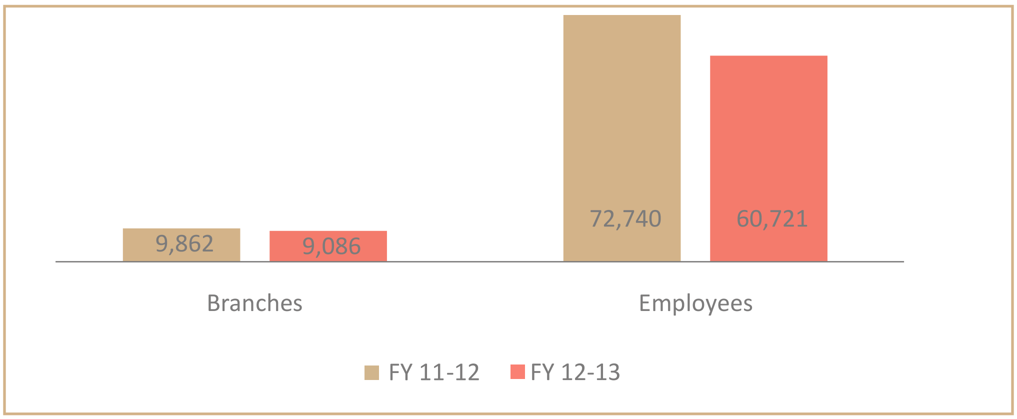


Infrastructure

The total number of MFI branches (MFIN members) declined from 9,863 in FY 12-13 to 9,085. As of 31st March 2013, member MFIs had 9,085 branches spread across 27 states. The branch network continued to shrink for the industry. However, medium and large non-AP MFIs increased their branch network by 10% over FY 11-12. Shrinkage in branch network was driven by two factors. First, AP MFIs continued to reduce their branches. Second, a few small MFIs are facing operational challenges and, therefore, are closing branches.

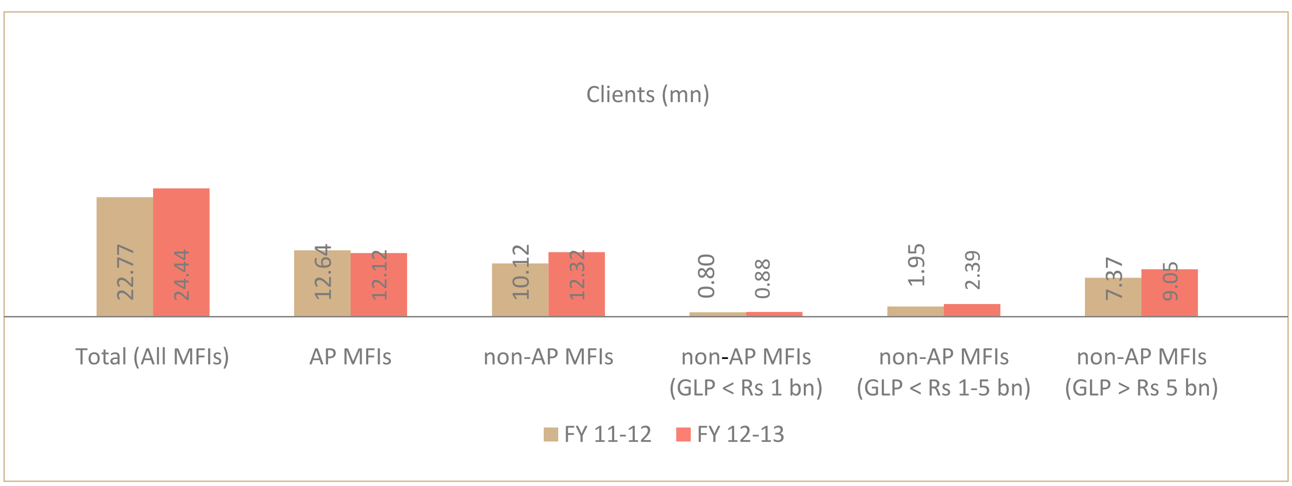
On a positive note, non-AP MFIs were able to register marginal growth in the number of branches during FY 12-13.

During last year, the employee count decreased by around 12,000. However, it is encouraging to see non-AP MFIs – large and medium have increased their employee base by 16% and 5% respectively. Shrinkage in staff strength was driven by two factors. First, AP MFIs continued to reduce their head count. Second, a few small MFIs faced operational challenges and reduced their staff strength.

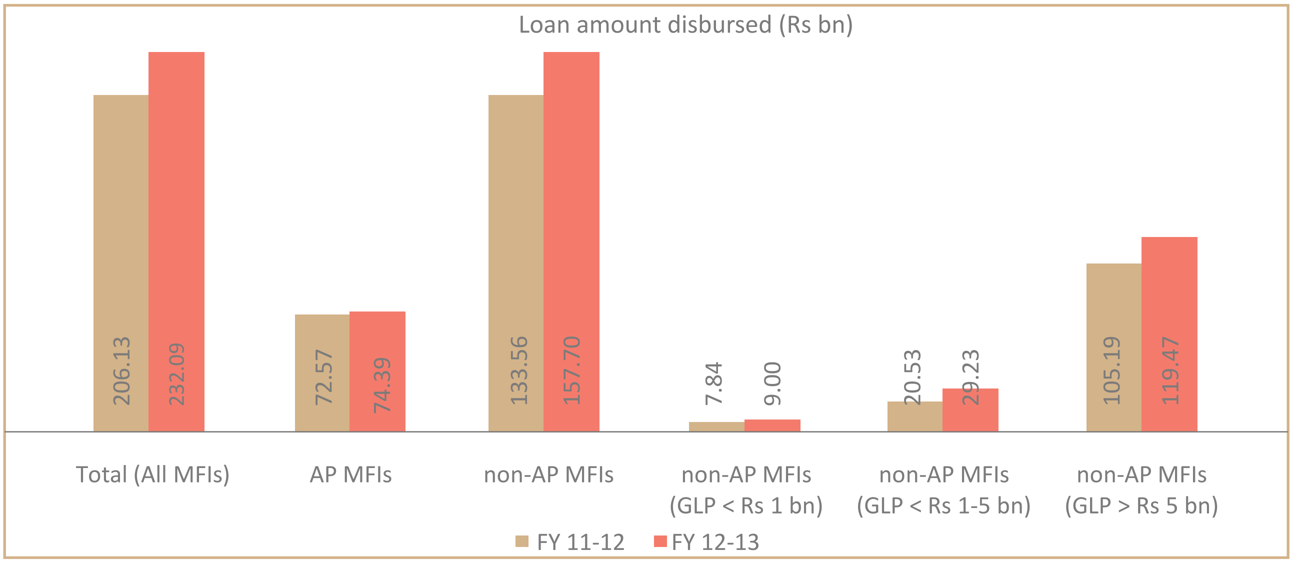


Outreach

This year saw a huge turn-around by the industry as the industry outside AP saw positive growth. The industry led by non-AP MFIs was able to reverse the previous trend by registering positive growth in clients, GLP and disbursements. As of 31st March 2013, members had 24.44 mn (2.44 cr) clients. There was significant increase in clients of non-AP MFIs of 22% in clients over FY 11-12. The large MFIs (GLP > Rs 5 bn) account for 82% of the total client base.



Fresh loan disbursements increased by 13% in FY 11-12 to Rs 23,364 Cr in FY 12-13.



Equity Investments

During FY 12-13, industry received many equity investments from overseas as well as domestic players. Some key investments in MFIN members during FY 12-13 are as under:

Company	Investors	Date
Equitas Micro Finance India	IFC, India Financial Inclusion Fund, MicroVentures	May 2012
Ujjivan Financial Services	IFC	May 2012
Saija Finance	Accion International, Pragati Fund	June 2012
Janalakshmi Financial Services	Citi, India Financial Inclusion Fund, Tree Line Asia Master Fund, GAWA Microfinance Fund, Others	July 2012
Sonata Finance Pvt Ltd	Creation Investments, MSDF and Swaminathan Aiyar	September 2012
Ujjivan FinancialServices Ltd	IFC	September 2012
SKS Microfinance Ltd	Royal Bank of Scotland	September 2012
Arohan Financial Services	Aavishkaar	September 2012
Ujjivan Financial Services	Lok Capital	September 2012
Equitas Micro Finance India Pvt Ltd	IFC, existing investors, Microventures and Caspian	October 2012
Suryodaya Microfinance Pvt Ltd	Housing Development Finance Corporation Ltd	October 2012
Fusion Microfinance Pvt Ltd	Norwegian Microfinance Initiative's (NMI) Frontier Fund, existing Incofin-Rural Impulse Fund II	March 2013
Grameen Financial Services Pvt Ltd	US-based Creation Investments Capital Management	March 2013

Microfinance Plus Services

An integrated approach towards client empowerment by MFIs

Microfinance-plus services aim to provide developmental services to customers, such as training or health services, alongside financial services. Various MFIs have taken on a wide variety of plus services. The plus services range from access to markets and business development services to health provision and literacy training. Business development services usually aim to boost competitiveness through higher productivity, better product design, improved service delivery, or enhanced market access. They comprise a broad range of nonfinancial services, including management or vocational skills training; marketing and technical assistance; technology access; productivity and product design; accounting and legal services; and access to various information about standards, regulations, or innovative ideas .

Financial literacy

Swadhaar FinServe Pvt Ltd, the non-profit partner Swadhaar FinAccess, has been providing financial education since 2008 to women (not restricted to borrowers) from the community where Swadhaar branches are located. Swadhaar pioneered the concept of Financial Inclusion and Literacy Center (FILC) near the branch in Chembur, Mumbai, with grant assistance from GIZ and set up 12 additional centers within Swadhaar branches, with assistance of the Michael and Susan Dell Foundation. The objective of the FILCs is to offer financial education, linkages to various financial products and support to the clients/community members who walk into the Center.

Village Financial Services initiated Financial Literacy programme to make the customer aware of basic financial concepts to enable them to have basic numerical skills, manage cash, plan for expenses, gain knowledge of different financial services and importance of savings and where to save. Special drive has also been taken to explain to customers about the local banking system and to open a "no-frills" account in the nearest nationalized bank.

Water and sanitation

To ensure provision of clean drinking water for its clients **Grameen Financial Services Pvt Ltd (GFSPL)** has tied up with Hindustan Unilever Limited for a Water Pureit program wherein 5227 water purifier units were installed. It also provided mason trainings (on construction of toilets) to the husbands of over 660 clients in 11 talukas.

Vocational training & market linkages

Utkarsh provides training on incense stick production to its clients. The members produced 148.5 ton of agarbatti during the year 2012-13. Utkarsh is also helping the clients with backward and forward linkages as it helps them to get raw materials at cheaper rates and facilitate in sale of finished goods at competitive rates.

ESAF released a report on Social Return on Investment (SROI) of its Income Generating Loan (IGL) Product in Kerala, the first of its kind initiative launched by an MFI in India. The project, started in October 2011, was facilitated by Opportunity International, Australia. According to the report, an analysis of investor social returns showed that an investment of Rs 4,900 mn, including equity investment and interest paid by clients, could potentially create Rs 15, 610.3 mn of present value, resulting in an indicative SROI ratio of 3.19:1. That is, for the equivalent of every Rs.1 invested in ESAF Microfinance, Rs 3.19 is returned in social value.

E-Infrastructure

BASIX common service centres (CSC) was launched as part of a National e-Governance Plan (NeGP). It aims to provide countrywide e-governance by bringing government services to citizens. BASIX launched 145 CSCs in Tripura. The services offered at these centres include online computer training, tele-homeopathy services, livelihood promotion services, agricultural advice, mushroom cultivation, training programmes, issuance of activity-based small loans, and online ticket bookings.

The Year under Review

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The four pillars of MFIN's work are advocacy, self regulation, development and communications. The overarching aim of all that we do is achieving MFIN's mission of promoting robust development of the microfinance sector and thereby facilitating access to finance to the millions of un-served and underserved people in India. MFIN has been engaging actively with the regulators as well as Central and State governments, to facilitate the development of a strong and supportive regulatory ecosystem for the microfinance industry. A very robust engagement model with the RBI has been developed to have dialogue on policy issues. MFIN also leverages its strength of providing thought leadership to the industry and providing technical inputs on policy issues. MFIN has been working on several initiatives that aid the strengthening and development of the sector; be it developing new standards for the members or adoption of best practices prevalent in other industries. Dissemination of information has also been another priority area; the MFIN sectoral publications give insights on industry facts, figures and performance. Independent studies are also promoted so as to present varied perspectives on the microfinance industry.

Advocacy

MFIs in India have proved that the poor can be served on a commercially sustainable basis by market oriented institutions. They provide the critical, last-mile connectivity for provision of financial services to the poor. A comprehensive and contemporary regulatory system that keeps in view the current reality of the Microfinance sector and is adequately forward looking is, therefore, necessary for the sound and stable development of the sector. MFIN has been engaging actively with the RBI as well as Central and State governments, to ensure that the policy interventions are balanced and represent the voice of industry as well as the clients that it serves. Given the gloom that prevailed over the sector in AP; a significant milestone was achievement of extension of timeline for the CDR package for MFIs in AP during the year.

Some of the other key advocacy activities performed in the past year (April 2012 – March 2013) are as follows:

May 2012: On May 2, 2012 Finance Minister Mr. Pranab Mukherjee introduced Microfinance Institutions (Development and Regulation) Bill 2012 in Lok Sabha with modifications to the earlier Bill introduced in March 2007. MFIN's continued engagement with the government has ensured that the Bill facilitates the development of a robust and supportive policy ecosystem.

July 2012: RBI released revised guidelines on Priority Sector Lending; targets and classification. MFIN's engagement with RBI yielded results and the Nair Committee recommendation on the 5% cap for funding to NBFCs was not accepted by the RBI.

August 2012: RBI released modified guidelines for NBFC-MFIs, removing the interest rate cap of 26% and giving some regulatory dispensation on provisioning norms.

September 2012: MFIN made a formal representation to the RBI, highlighting relevant issues in the context of the 3rd August, 2012 Circular.

November 2012: A formal representation was made to the Finance Minister on issues of concern to microfinance industry. The representation requested him for early promulgation of the Bill, allowing MFIs to become corporate insurance agents, inclusion within the Business Correspondent framework and exclusion of service tax for MFIs and recognition of MFIs for benefits under Section 36(i) of IT Act.

MFIN was invited for the pre-Monetary Policy meeting chaired by the Governor, RBI.

Following issues were raised in the meeting: the differential margin cap issue given the difficulties in the immediate adoption of a 10% margin cap; the need for, deferring the 10 % cap to the next fiscal was stated and the progress made by the industry in providing data to CBs and building a full scale CB eco-system was brought to the Governor's attention. In this context, the criticality of SHG data / Bank data on MF clients was also emphasized. The need for consultations with the industry association before finalization of the SRO guidelines was also raised.

December 2012: A meeting of MFIN Board of Directors with Mr. Anand Sinha, Deputy Governor RBI was held for a discussion on full range of industry issues.

MFIN submitted its feedback on the Microfinance Bill to the Parliamentary Standing Committee on Finance.

January 2013: MFIN senior leadership met with Mr. Y H Malegam, member of RBI Board to discuss a range of industry issues. MFIN President and the CEO also participated in the meeting called by the RBI on 30th Jan 2013 for SRO guidelines and the industry position was articulated.

February / March 2013: Sustained dialogue carried out with the RBI for dealing with issues arising out of the 3rd August 2012, circular so as to bring key issues to a closure in FY 2012-13.

Self Regulation

The notification DNBS.CC.PD.No. 250/03.10.01/2011-12 dated 2nd December, 2011, issued by the Reserve Bank of India (RBI) expects Industry associations to assume greater responsibility in ensuring compliance. Given the RBI's many and varied responsibilities as the Central Bank and chief financial regulator of the country, a Self-Regulatory Organization (SRO) may therefore serve as extended arms of the RBI with delegated responsibilities for monitoring of compliance with RBI regulations.

MFIN has been modeled as a SRO for Microfinance Institutions (NBFC-MFIs) – constitutionally, structurally and functionally. As the SRO for the sector, MFIN's mission is to:

- Establish rules that are fair, and are based on stability and efficiency principles;
- Protect market competition and ensure that information monitoring and sanctioning systems are compatible with fair competition;
- Ban discriminatory and unfair practices;
- Ensure that SRO rules and operations are not detrimental to small participants and consumers, and that under-served constituents have reasonable access to their services, and at a fair price;
- Make sure that the members are fully aware of the risks of their business, and that their technical and operational capacity, including their risk-management capacity, is sufficient to make their system robust and resilient against large financial and operational shocks.

MFIN is working on a range of activities focused on self-regulation. Some of the key accomplishments in its role as SRO for the sector during last year are listed below:

MFIN is working on a range of activities focused on self-regulation. Some of the key accomplishments in its role as SRO for the sector during last year are listed below:

Enforcement Mechanism

In continuation of its efforts to further strengthen the enforcement mechanism, the MFIN Enforcement Committee inducted three external members on the EC for the first time. As expected, induction of external members in the EC gave further credibility, transparency and objectivity to the functioning of the EC. During the year, EC had three meetings and six conference calls.

In FY 2012-13, the Enforcement Committee (EC) handled more than six hundred complaints, most of them related to cases of multiple lending to single client based on Credit Bureau reports. The issues were dealt with as per procedure and brought to satisfactory closures. This we believe has had a salutary impact on the operating

Responsible Business Index

MFIN EC also supported in developing a new Score Card titled as **'Responsible Business Index' (RB Index)**. It aims to support the industry and individual MFIs in their collective efforts towards building a more responsible business framework by evaluating responsible business principles and practices in their operations and business practices.

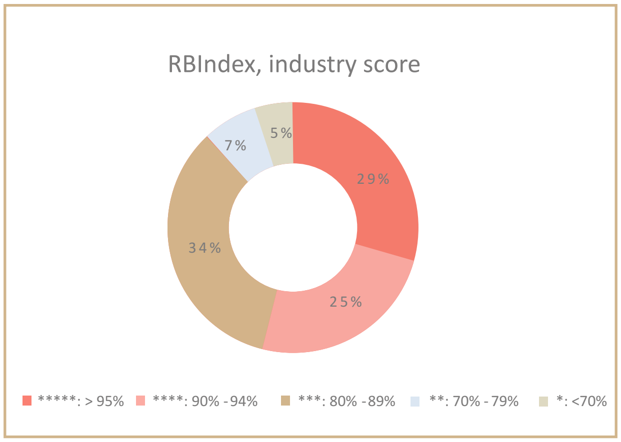
The **RB Index** comprehensively covers RBI Fair Practice Code and Industry Code of Conduct under five broad areas as under:

- Disclosures to Clients
- Client Engagement
- Institutional Processes
- Transparency
- Violation History

These broad areas are further divided into 69 sub-parameters to form the maximum total score of 100. MFIs get scores based on the level and degree of performance on these parameters and sub-parameters. The evaluation is made on the basis of self-certification by members. For the year 2012, the overall score for the industry was 89% which falls in the category of three stars:

- 29% members have score in band of > 95%
- 25% members have score in band of 90%-94%
- Only 12% members have score of less than 80%

Individual reports were sent to members to help them in benchmarking and working on bridging the gaps. The industry report was also shared with the RBI and other key stakeholders.



Development

Credit Bureau

During last couple of years, MFIN and its members have made enormous efforts in developing the Credit Bureau ecosystem for the microfinance clients. As a result, the two mainstream Bureaus, High Mark and Equifax are providing Credit Bureau services to the industry.

During last year, MFIN CB Task Force was instrumental in ensuring full compliance of MFIN members in complying with CB Standards as under:

- Membership of two Bureaus – High Mark and Equifax
- From 15th April 2012: Submission of full data on a monthly basis to both CBs
- From 1st June 2012: Use of CB report for all lending decisions
- From 1st Nov 2012: Submission of full data on a monthly basis to both CBs by 7th of every month
- From 1st Jan 2013: Submission of fortnightly data to both CBs (by 7th and 22nd of every month)

These efforts have led to a remarkable uptake in the use of Credit Bureaus by MFIN member MFIs.

As of 31st March 2013, the status of Credit Bureau usage is as follows:

- All MFIN members are members of both CBs and providing complete data to both CBs on a monthly basis
- Data pertaining to 70 mn loan accounts have been submitted to the Bureaus
- 90% of the members submit data by 15th of every month
- 70% members are submitting data on a fortnightly basis
- Members are extracting over 2 mn Credit Bureau reports every month

Social Performance Management

In order to address the need for better Social Performance Management (SPM) by the microfinance Industry in India, MFIN has partnered with the 'Social Performance Start-up Fund'. This Ford Foundation supported Fund is assisting select national microfinance networks such as MFIN to implement SPM related activities.

During 2012-13, MFIN organized the second round of workshops in Chennai (September 24th & 25th) and Kolkata (September 26th & 27th) to discuss the progress made in SPM implementation since the first round of workshops in 2011-12, and to highlight some best practices. MFIN attended the "Global Learnings Meet" in Washington DC, on November 6th, to share some of the highlights from these workshops with the other grantees of the SP Fund.

Financial Awareness

The IFC and MFIN initiated the Credit Bureau Awareness Project for Microfinance Institutions in India in 2012. The Project is seeking to expand and deepen consumer understanding of the importance of building a strong credit history, as well as the implications of credit information sharing, credit reports and the role of credit bureaus. Further, the Credit Bureau Consumer Awareness Campaign seeks to support MFI's across India to enhance their institutional capacity to effectively deliver, disseminate and implement consistent quality consumer protection and credit related financial education.

Micro Finance Opportunities (MFO) has been identified as the main vendor for the project to develop the training module and conduct the trainings. Micro Finance Opportunities (MFO) is a pioneer in financial education for the poor around the world, both in developing content and using compelling and consumer-centric delivery processes. From 2006 through 2011, MFO has trained nearly 30,000 trainers from 469 organizations in 64 countries. MFO's global financial education content has reached more than 1.7 mn low-income people through classroom training and another 39 mn have been exposed to its key messages through print and mass media. In India alone, the financial education content and key messages have reached more than 1.3 mn people. SEWA Bank in Gujarat is one of MFO's original partners in the development of the global financial education program.

Phase 1 of the project between January and March 2013, saw MFO conduct Desk Research and Stakeholder Engagement Field Visits (to a selection of MFIN MFIs and the Credit Bureaus Highmark and Equifax), which investigated the Pan Indian microfinance sector context related to consumer protection messages, compulsory group training content and credit related financial education. The desk research report has been submitted by MFO. Phase 2 of the project was focused on MFI Consumer Market Research across a number of MFIN member Microfinance Institutions.

MFO is currently in Phase 3 of the project, the Campaign Build, which includes the creation of a suite of resources and tools to be disseminated through multiple delivery channels.

Information Hub

Access to accurate and timely information is the foundation of all our work vis-a-vis self-regulation, policy advocacy, development, and communication. The MFIN Information Hub is intended to be the bedrock of our efforts to bring greater transparency and accountability to the industry.

Within a year of starting MFIN Information Hub in April 2012, MFIN has made substantive progress in this direction. In partnership with MIX Market and Microfinance Transparency (MFT), MFIN has greatly increased the availability of data in public domain to support policy formulation and business practices.

In 2012-13, MFIN has brought out 4 issues of Micrometer and the first issue of Microscape. The MicroMeter provides quarterly trends of a few key operational and financial indices for the industry at Pan India and state level. The MicroScape, based on audited financials, provides a comprehensive analysis for full range of operational, financial and funding related data.

The **Micrometer and Microscape** are now established as the authoritative data source for the microfinance industry. These publications for the first time in the industry bring out quarterly state level data, which is also available in the public domain. These publications allow MFIs to benchmark themselves as also help the various stakeholders to get insights on key trends in the industry.

State Chapters

MFIN has established State/Regional Chapters to provide a common forum for MFIs to resolve State level operational issues and deal with local matters relevant to the industry. Currently there are 6 MFIN State Chapters (MSC), one each in Tamil Nadu, Andhra Pradesh, Madhya Pradesh, Maharashtra, Uttar Pradesh, and Orissa. In addition to these, MFIN works closely with and supports established regional Microfinance Associations such as Association of Karnataka Microfinance Institutions (AKMI), Association of Microfinance Institutions –West Bengal (AMFI-WB) and Kerala Association of Microfinance Institutions (KAMFI).

The MFIN state chapters engage on a regular basis with state governments. Besides the state government functionaries, MSCs regularly interact with other key regional stakeholders such as NABARD, SIDBI, State Level Bankers' Committee (SLBC) / Banks, as well as the regional and local media.

The Tamil Nadu Chapter has been holding regular meetings with key government officials such as Principal Secretary, Streenidhi Co-op Bank, LDMs, and Collectors in various districts, to brief them on MFIN initiatives, RBI guidelines, and interest rate calculation methodology. MFIN State representative attended the state level meeting convened on 3rd August 2012 by Mr.N.S.Palaniyappan, I.A.S, Principle Secretary – Rural Development, Tamil Nadu, to discuss the Micro Finance Institutions (Development & Regulation) Bill 2012. In February 2013, Tamil Nadu Chapter had meeting with Mr. Rammasubbu, MP (Tirunelveli) and Member Parliamentary Standing Committee on Finance. The MP was briefed about the provisions of the Microfinance Bill. The Tamil Nadu Chapter has also made representations at Collector's meetings in Madurai, Salem, Kanchipuram district. This state chapter translated the Industry CoC in Tamil and shared with all members operating in the state.

MFIN representative in AP met CEO SERP, GoAP to facilitate establishment of linkage between Credit Bureaus and SHGs. Meeting was held with MD, Sthree Nidhi Credit Cooperative Bank to build relationships and explore collaboration. Detailed deliberations were held with Mr. Reddy Subramaniam,Principal Secretary Rural Development, AP Government on forward looking steps for normalizing microfinance activities in the state. Possible collaboration with Sthree Nidhi Credit Cooperative Bank was also discussed with him.

The AP chapter helped facilitate a partnership with CESS to organize the "Colloquium on Micro Finance & Financial Empowerment".

MFIN and KAMFI representatives met Mr. Rajeev, MP (Kerala) and member of Parliamentary Standing Committee on Finance and briefed him about the provisions of the MF Bill.

The Madhya Pradesh chapter also organized district level meetings with MFIs and DMs/SPs in various districts. The MP state chapter representative met the Vice Chairman of the State Planning Commission. A meeting was held with Bhopal District Magistrate wherein he was informed about the use of credit bureau reports by MFIs.

MFIN participated in the stakeholder consultation on Access to Finance - Vision for Madhya Pradesh in January 2013. MFIN representative, along with local MFI representatives, met with the Principal Secretary, Rural Development, Government of Madhya Pradesh and briefed him about the state of the microfinance sector in MP.

Regional workshops were held in Solapur and Kolhapur in the state of Maharashtra in November 2012. MFIN representatives met with the Collector, Kolhapur, and conveyed MFIN's willingness to participate in the financial inclusion program of the district administration.

Partnerships & Collaborations

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MFIN has formed key partnerships and collaborations with a range of stakeholders and organizations that support its mission and the members it serves. These initiatives aim to facilitate peer learning, knowledge sharing, policy advocacy, dissemination of best practices and coordination within the industry as a whole.

IFC: IFC is one of the most important partners for MFIN. IFC and MFIN continued their collaboration to strengthen micro finance sector in India by promoting initiatives aimed at bringing improved governance and greater transparency to the sector. The Towers Watson study has been commissioned to understand the compensation levels in the microfinance industry. IFC and MFIN also continued their cooperation on Microfinance Credit Reporting. In the first phase the focus was on getting MFIs to report to the credit bureaus. The second phase of cooperation on credit bureau project focuses on broadening the coverage of credit bureau and creating greater awareness levels on credit bureau sectorally. The IFC-MFIN Credit Bureau Awareness Project intends to create consumer awareness on Credit Bureau reporting and credit information sharing.

MIX: MFIN and MIX market have partnered for improving scale, scope and quality of data availability on microfinance industry in India.

The partnership has improved the quality of data available for the industry considerably. MFIN and MIX have also engaged in collective data collection on quarterly and annual basis in order to reduce the burden of multiple data submissions for MFIs to multiple agencies. MIX is the premier source for objective, qualified and relevant microfinance performance data and analysis.

MFT: For monitoring pricing and its transparency within the industry, MFIN and Microfinance Transparency (MFT) have partnered to calculate and disclose prices of MFIN members. The exercise aims to make pricing data of MFIN members available in public domain. The project aims at setting the benchmark not only for the microfinance industry but also for the entire financial sector in India.

Microfinance Transparency is an international non-governmental organization that promotes transparency by facilitating microfinance pricing disclosure, offering policy advisory services and developing training and education materials for all market stakeholders.

Grameen Foundation: Grameen Foundation under its project "Banking without Borders" has partnered with MFIN for development of Information Hub at MFIN.The information hub is responsible for quality data availability and analysis for the Industry.

Bankers without Borders programme of Grameen Foundation is a global reserve corps of business professionals from a variety of fields; finance, technology, human resources and marketing. These professionals volunteer their time, knowledge, and experience to support microfinance and technology developments in many areas around the world.

GIZ: MFIN organized a workshop with GIZ on "MFIs as Business Correspondents" in October 2012. The workshop discussed the viability and scope of MFIs in offering business Correspondent services.

CGAP: Continuous dialogue was maintained during the year with CGAP and World Bank representatives and inputs on the state of the sector provided from time to time. The World Bank continued to extend its overall support to the industry through its funding series with SIDBI. In November 2012, MFIN met with the World Bank Access to Finance team in Washington DC and apprised them on the current state of the Microfinance Sector. The MFIN President, Mr. Vijay Mahajan is presently also the elected Chairman of the Executive Committee of CGAP.

6

Events & Conferences

During 2012-13 MFIN organised and participated in events and conferences with the aim to share knowledge, stimulate innovation and ideas and promote policy debates amongst various stakeholders.

July 2012: MFIN-MEDC Financial Empowerment Colloquium

The "MFIN-MEDC Financial Empowerment Colloquium" was held on 25th July, 2012. The Colloquium included panel discussions around Microfinance as a facilitator for financial inclusion and an enabler for those at the bottom of the pyramid. The panelists included key stakeholders from the Microfinance industry, the State Government of Maharashtra, the RBI, and the Ministry of Finance, Government of India. Mr. Yashwant Sinha's message for the Microfinance Industry was read aloud at the Colloquium. Key participants included Banks, Investors, the RBI, IBA, SIDBI, and member MFIs.

August 2012: MFIN-CESS Colloquium on Microfinance and Financial Empowerment

The "MFIN-CESS Colloquium on Microfinance and Financial Empowerment" was held on the 21st August, 2012. Key stakeholder groups that participated included – Funders, Investors, Academia, MFIs, and most importantly, the State Government of AP (SERP). The panelists discussed inclusive finance, role of microfinance institutions and the enabling framework required for achieving the National Financial Inclusion agenda of the Government of India and the Reserve Bank of India.

The event also discussed some of the myths around MFIs and provided an opportunity for an honest and transparent dialogue to break the stalemate between MFIs and the AP Government.

August 2012: Bihar - Banking on Inclusion conference by Governance Now

The "Bihar - Banking on Inclusion" Conference was held in Patna on August 25th, 2012, by Governance Now, and co-sponsored by MFIN. The event was attended by key representatives of the Bihar state administration and doyens of the Finance & Banking industries. The inaugural address was delivered by Mr. Sushil Kumar Modi, the Honorable Deputy Chief Minister of Bihar and the valedictory address was delivered by Mr. Nitish Kumar, the Honorable Chief Minister of Bihar. The event served as an effective platform for engaging key opinion makers in Bihar on Microfinance and its role in Financial Inclusion.

September 2012: CII Banking Colloquium

MFIN was a silver sponsor for the CII Banking Colloquium in Kolkata on September 14th, 2012. The event was attended by prominent members of the banking community. Mr. Diwakar Gupta, MD, State Bank of India, in his special address, mentioned the critical role played by MFIs in providing last mile connectivity.

October 2012: MFIN-GIZ Workshop on "MFIs as Business Correspondents"

MFIN, in partnership with GIZ, conducted a workshop to discuss the role of "MFIs as Business Correspondents", in Bangalore on October 18th. The Workshop was attended by 40 representatives from both MFIN-member and non-member MFIs. The workshop discussed the significant role that MFIs could play as Business Correspondents given their huge network, customer outreach, and understanding of the customer profile. It also deliberated on the business case and economic viability of MFIs as BCs which is yet to be proven.

MFIN Participation in other events and forums

- Convergences 2012 in Paris
- "Annual Development Banking Conference' organized by the National Community Investment Fund (NCIF), from Nov 1-2, 2012, Chicago
- Responsible Finance at the SEEP Conference on November 5th, 2012, Washington DC
- IFC workshop on Risk Governance
- Microfinance India Summit 2012
- IIM-A Bandhan workshop – Assessing impact of Bandhan's microcredit and related development intervention, 5th Jan 2013, Ahmedabad
- MFIN CEO meeting with SAARC Secretary General and Secretariat, 13th Feb 2013, Kathmandu
- ASSOCHAM – KAMFI, "Regional Convention of Microfinance - Changing million's lives", 14th Feb 2013, Thiruvananthapuram
- Indian Chamber of Commerce 'Corporate Governance in Micro Finance', 16th February, 2013, Kolkata
- M-CRIL CAB Seminar on Risk in Indian Microfinance, 18th Feb 2013, Pune
- RBI OECD World Bank Regional conference on Financial Education, 4th March 2013, Delhi
- 2nd India Value Fund Annual Meet, 6th March 2013, Bangalore
- A 10 member delegation from the Afghanistan Microfinance Association visited MFIN in Gurgaon, on Nov 30th. Key successes and challenges of the Indian Microfinance sector as well as of MFIN were shared with the delegation.

Awards & Recognitions

7

In spite of continuing challenges in the sector; MFIN members were able to distinguish themselves by exhibiting resilience and process and product innovations. The awards and recognitions in the industry are a testimony to continued improvement in business practices, good corporate culture and robust risk management systems.

Bhartiya Samruddhi Finance Ltd (BSFL) received the Manthan Award under e-Infrastructure category for BASIX convenience outlets under common service centres scheme. The common service centres (CSC) was launched as part of a National e-Governance Plan (NeGP). The Manthan Award is an annual award for South Asia given in recognition of exceptional digital content creation.

Swadhaar has undergone rating from GIIRS (Global Impact Investing Ratings System), which is a comprehensive and transparent rating system for assessing the social and environmental impact of companies and investment funds. It was awarded 4 stars on a scale of 1 – 5 (5 being the highest grade). Swadhaar attained a 5 star rating under the Governance section, and was placed in the highest quintile in this section.

Ujjivan is one of the first MFIs in India to meet Global Standards of Customer Protection under Smart Campaign. It received CFO Award for FY 2011-12 for excellence in Risk Management by CFO India.

Ujjivan has been ranked #21 amongst "India's Best Companies to Work for 2012" organized by the Great Place to Work & The Economic Times during the year.

Grameen Financial Services Private Limited (GFSPL) was honoured with the Skoch Financial Inclusion Award in January 2013 within the microfinance category.

Utkarsh was awarded Microfinance India Organisation of the year (medium & small category) for the year 2012 at Microfinance India Summit 2012 organised by Access Assist.

New Members

8

Adhikar

Adhikar Microfinance Private Limited was established in 2008 by taking over an existing NBFC since 1997. Dia Vikas Capital has 49% stake in the company. The company is led by its Managing Director and CEO, Mohammad Nooruddin Amin with over 20 years of experience in the development sector and admired in the sector for promoting innovative models of financial services.

The company is entirely into microfinance with aim to provide financial services to the urban and rural poor. Adhikar currently has operations in 15 districts in Odisha and 1 district in the State of Gujarat. Adhikar currently offers 4 products; Income Generation Loan (IGL), Water Loan, Sanitation Loan and Energy Loan. It has recently ventured into dairy related activities including milk procurement, marketing the end products, building up cattle loan portfolio and also agriculture related financing. Adhikar's vision is to be a valued partner of the working poor, appreciated for its role in creating opportunities and admired for its organizational model.

Belstar

Belstar Investment and Finance Private Limited (BIFPL) is a NBFC registered with the RBI and was acquired by the Hand in Hand group in September 2008 to provide scalable microfinance services to entrepreneurs nurtured by the Hand in Hand's Self Help Group (SHG) programme. It aims to provide financial assistance to more than 0.5 mn borrowers within the next 3 years and intends to use its synergy with the activities of the Hand in Hand group to create 1mn jobs by end of 2014. BIFPL started its micro-lending operations in a small way in one district in Tamil Nadu and two districts in Karnataka in April 2009. Today it has 57 Branches spread over 9 districts (6 in TN, 1 in Pondicherry and 2 in Karnataka) with a membership base of over 230,000. It has 472 staff on its rolls and has an asset size of Rs 96 Cr with PAR > 1 day at 0.38%.

BIFPL has entered into an agreement with Hand in Hand trust (HIH) and is going to primarily rely on taking over the existing groups formed by HIH.

M Power

M Power Micro Finance Pvt Ltd is a start up MFI and was incorporated on 19th November 2009 with its registered office situated in the state of Maharashtra. The company has obtained the RBI license for operating as a Non-Deposit taking Non-Banking Finance Company. K M Vishwanathan is the Chief Executive Officer while K V Balaji is the Chief Operating Officer of the organization. The company's head office is based in Vadodra.

M-Power commenced business operations from Baroda, and currently covers 3 districts. It has 6 branches, 13,600 customers and 65 staff working in the company. The company had loan portfolio was Rs 12 crores as on March 2013.

Annex 1: List of Members

1. Adhikar Microfinance Pvt Ltd
2. Anjali Micro Finance
3. Arman Financial Services Ltd
4. Arohan Finacial Services Ltd
5. ASA International India Microfinance Pvt Ltd
6. Asirvad Microfinance Pvt Ltd
7. Asmitha Microfin Ltd
8. Bandhan Financial Services Ltd
9. Belstar Investment & Finance Pvt Ltd
10. Bhartiya Samruddhi Finance Ltd
11. Chaitanya India Fin Credit Pvt Ltd
12. Disha Microfin Pvt Ltd
13. Equitas Micro Finance India Pvt Ltd
14. ESAF Microfinance and Investments Pvt Ltd
15. Fusion Microfinance Pvt Ltd
16. Future Financial Servicess Ltd
17. Grama Vidiyal Micro Finance Ltd
18. Grameen Financial Services Pvt Ltd
19. Janalakshmi Financial Services Pvt Ltd
20. L&T Finance Ltd
21. Madura Micro Finance Ltd
22. M Power Microfinance Pvt Ltd
23. Muthoot Fincorp Ltd (Panchratna)
24. Smile Microfinance Ltd
25. Sahayta Microfinance Pvt Ltd
26. Saija Finance Pvt Ltd
27. Samasta Micro Finance Ltd
28. Sarvodaya Nano Finance Ltd
29. Satin Credit Care Network Ltd
30. Share Microfin Ltd
31. SKS Microfinance Ltd
32. Sonata Finance Pvt Ltd
33. Spandana Sphoorty Financial Ltd
34. Suryoday Micro Finance Pvt Ltd
35. SV Creditline Pvt Ltd
36. Swadhaar Finserve Pvt Ltd
37. SWAWS Credit Corporation India Pvt Ltd
38. Trident Microfin Pvt Ltd
39. Ujjivan Financial Services Ltd
40. Utkarsh Micro Finance Pvt Ltd
41. Village Financial Services Pvt Ltd

Annex 2: Board Attendance Record

Sl No.	Board Member	Attendance record								
				4th July 2012	25th Sep 2012	15th Dec 2012	16th March, 2013	24th April 2013	18th May 2013	8th June 2013
				Concall	Delhi	Gurgaon	Gurgaon	Kolkata	Delhi	Concall
1	Vijay Mahajan, BSFL	7/7	100%	P	P	P	P	P	P	P
2	Samit Ghosh, Ujjivan	7/7	100%	P	P	P	P	P	P	P
3	C S Ghosh, Bandhan	7/7	100%	P	P	P	P	P	P	P
4	Dasaratha Reddy, FFSL	3/7	43%	A	A	P	P	P	A	A
5	Govind Singh, Utkarsh	7/7	100%	P	P	P	P	P	P	P
6	Kishore Kumar Puli, Trident	7/7	100%	P	P	P	P	P	P	P
7	Kishore Magalvedhe, L & T[i]	2/3	67%	P	P	A	NA	NA	NA	NA
7	Manoj K Nambiar, Arohan	4/4	100%	NA	NA	NA	P	P	P	P
8	Padmaja Gangireddy, Spandana	2/7	29%	P	A	P	A	A	A	A
9	Suresh Krishna,GFSPL	6/7	86%	P	P	P	P	P	P	A

Attendance summary

	1	2	3	4	5	6	7
Meeting date	4th July 2012	25th Sep 2012	15th Dec 2012	16th March, 2013	24th April 2013	18th May 2013	8th June 2013
Location	Concall	Delhi	Gurgaon	Gurgaon	Kolkata	Delhi	Concall
Attendance summary	P: 8 A: 1	P: 7 A: 2	P: 8 A: 1	P: 8 A: 1	P: 8 A: 1	P: 7 A: 2	P:6 A:3

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